October 27, 2026
Brazil Equity Strategy

XP IFAs Sentiment Survey

IFAs' optimism reached new highs ahead of the runoff...

...but the recent sell-off puts it to the test

In this edition of our survey with advisors and IFAs affiliated with XP, conducted ahead of the presidential runoff, we saw a sharp increase in risk appetite and in sentiment towards equities. The key takeaways are: **(i)** The share of respondents planning to increase their equity allocation jumped to 54% (+25 p.p. MoM), the highest since March 2024; **(ii)** IFAs' sentiment towards equities rose to 7.6, from 6.8 in September (on a 0-10 scale), the highest in our series; **(iii)** The average YE2026 Ibovespa projection rose to 203k points; **(iv)** Fiscal risks in Brazil (69%) and political instability/elections (64%) remained the top concerns.

Allocation to equities increased. In October, we observed a shift from lower to higher allocation brackets. The 0-10% and 10-25% ranges fell to 46% and 33% (-3 p.p. MoM each), while the 50-75% bracket rose to 5% (+4 p.p. MoM) and the 75-100% bracket to 5% (+2 p.p. MoM), the highest in our series.

Risk appetite surged. The share of respondents planning to increase their equity allocation jumped to 54% (+25 p.p. MoM), the largest monthly increase since June 2023 and the highest reading since March 2024, while those planning to reduce it fell to 2% (-9 p.p. MoM). 44% did not wish to alter their equity exposure.

Sentiment towards equities hit a record high, with 80% (+19 p.p. MoM) assigning a score of 7 or higher and the average score rising from 6.8 in September to 7.6. The average YE2026 Ibovespa estimate rose to 203k points, from 188k, in line with the index level during the survey, but ~15% above the post-election close of 177k points.

Equities gained ground among asset classes. Fixed Income remained the #1 asset class, although interest fell to 66% (-18 p.p. MoM), while Equities jumped to 54% (+15 p.p. MoM), the highest since March 2024, overtaking Fixed Income Funds (49%).

Fiscal and political risks remained on top. 69% of IFAs (-9 p.p. MoM) pointed to fiscal risks in Brazil as the key risk for Brazilian equities, followed by political instability/elections at 64% (-7 p.p. MoM), while rising inflation in Brazil gained ground (30%, +10 p.p. MoM).

On sector preferences, interest spread beyond the leaders. Financials remained at the top with 64% (-10 p.p. MoM), while Real Estate (28%, +5 p.p. MoM), TMT (27%, +6 p.p. MoM) and Agribusiness (14%, +8 p.p. MoM) gained share.

Finally, most IFAs still saw value before the runoff. 42% considered Brazilian equities still very attractive and 30% saw them as more expensive, but still offering value, while 78% of respondents reported that the election was already influencing positioning.

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*The survey was conducted between October 17th and 23rd, collecting 173 responses.

Regarding their investments in equities, your clients:

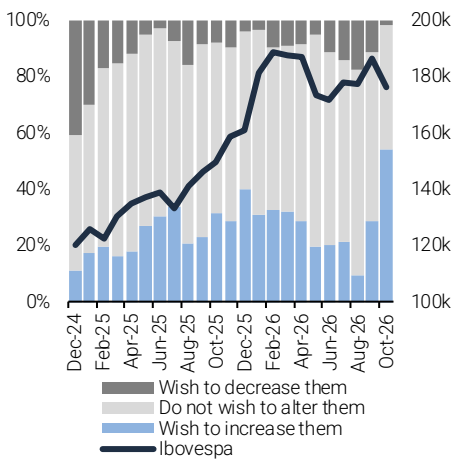


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XP Sentiment Survey

Risk appetite surged ahead of the runoff

In terms of respondents, the Southeast region's participation in the survey decreased by 4 p.p. to 57% of the responses in the October edition. This was followed by the South (27%, +12 p.p. MoM), its highest share in our series, the Northeast (12%, -8 p.p. MoM) and the Midwest (5%, +1 p.p. MoM).

Allocation to equities started to move higher. In October, the share of respondents with equity allocations in the 0-10% range decreased to 46% (-3 p.p. MoM), while the 10-25% range fell to 33% (-3 p.p. MoM). At the same time, the 25-50% bracket rose to 12% (+1 p.p. MoM), the 50-75% bracket to 5% (+4 p.p. MoM) and the 75-100% bracket to 5% (+2 p.p. MoM).

Risk appetite surged. The share of respondents planning to increase their equity allocation jumped to 54% (+25 p.p. MoM), the largest monthly increase since June 2023 and the highest reading since March 2024, while the share planning to reduce it fell to 2% (-9 p.p. MoM). Meanwhile, the share intending to keep their current allocation unchanged dropped to 44% (-16 p.p. MoM), the lowest since March 2024.

The survey was conducted near the peak of the pre-election rally. After closing September at 186k points, the Ibovespa jumped 7.7% in the first session after the first round and reached a record close of 209k points on October 9th, with foreign investors adding R$19.1bn in net inflows by mid-month. The survey closed before the runoff, however: on October 26th, the first session after the election, the Ibovespa fell 13.9% to 177k points, below its September close.

Chart 1: Which region of Brazil is your office located?

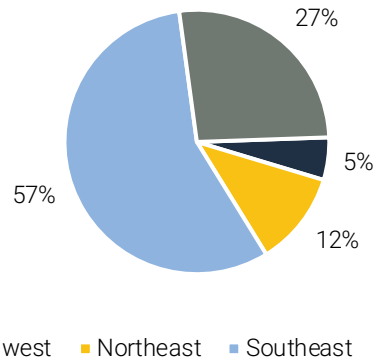


Chart 2: Within your clients' portfolio, the allocation in equities is on average:

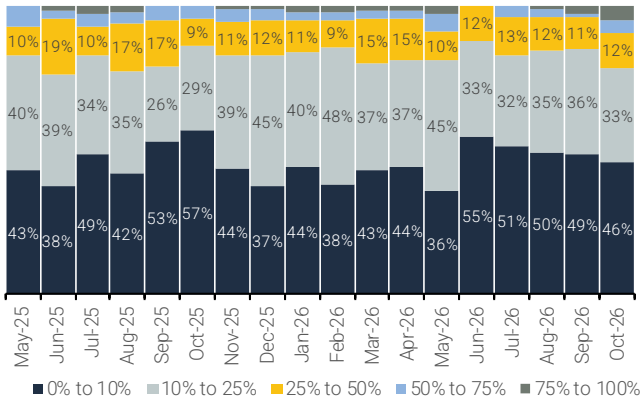
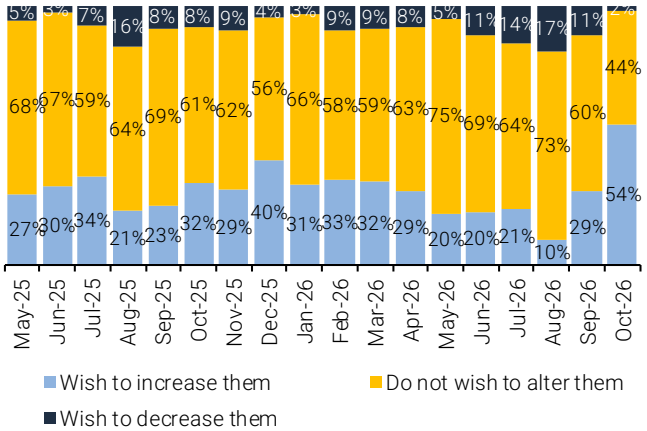


Chart 3: Regarding their investments in equities, your clients:

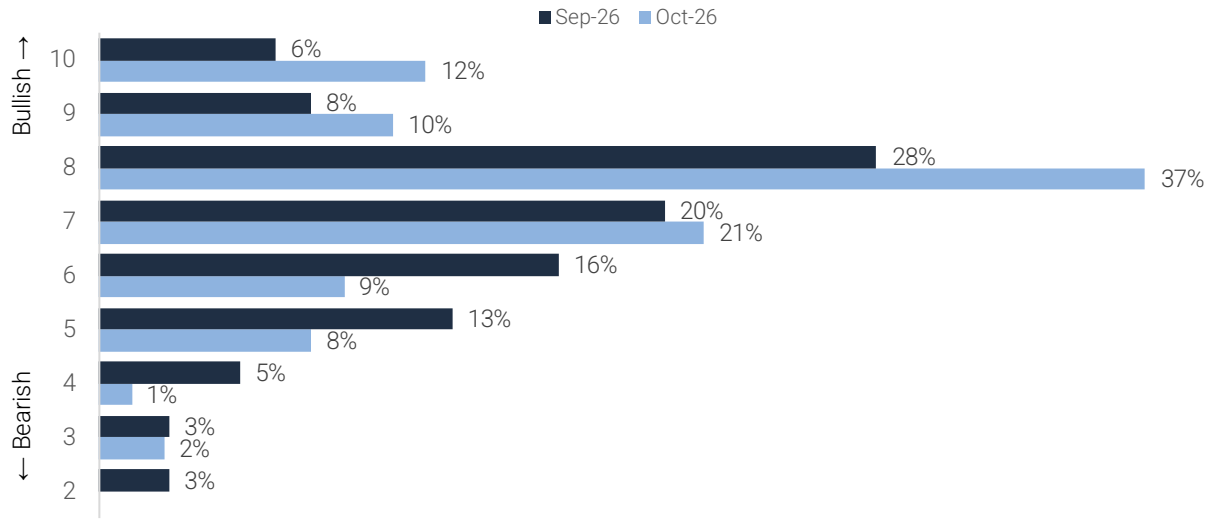


XP Sentiment Survey

IFAs' sentiment hit a record high

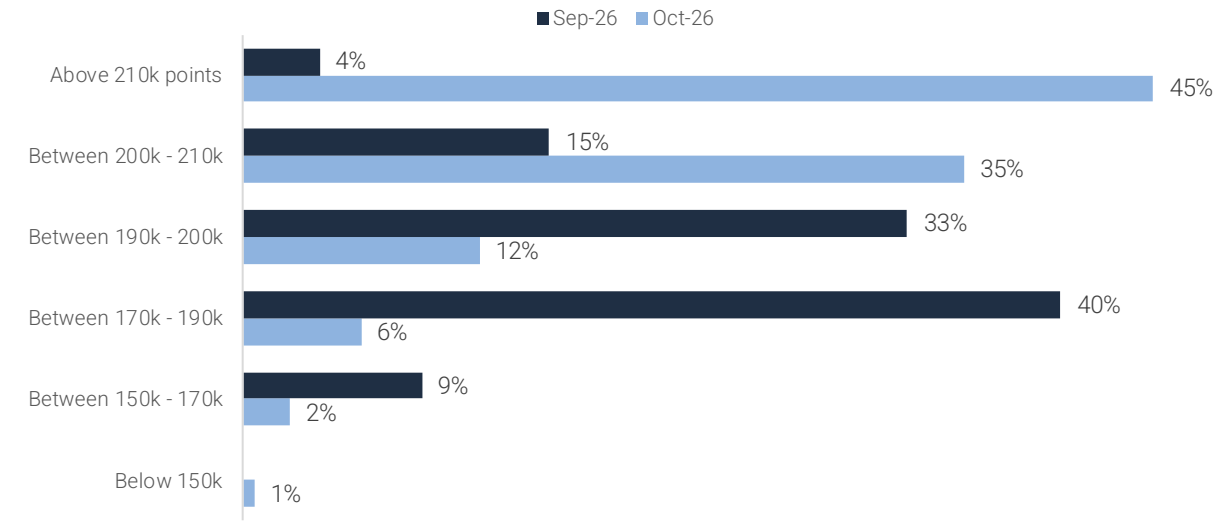
IFAs' sentiment towards Brazilian equities improved further ahead of the runoff, with 80% (+19 p.p. MoM) rating it 7 or higher (on a scale of 0 to 10), while 11% (-12 p.p. MoM) assigned a score of 5 or lower. The average of the responses rose from 6.8 in September to 7.6, the highest level in our historical series.

Chart 4: On a scale of 0 (most bearish) to 10 (most bullish), indicate your current equity sentiment relative to historical terms.



In October, 45% of IFAs (+41 p.p. MoM) indicated that they expect the Ibovespa to end 2026 above 210k points, which became the most cited bracket, while 35% (+20 p.p. MoM) see the index finishing between 200k and 210k points. The average projection rose to 203k points, from 188k previously, in line with the index level at the end of the collection period (~205k points), but ~15% above the post-election close of 177k points. Overall, 80% (+61 p.p. MoM) projected the Ibovespa above 200k points by YE2026.

Chart 5: In your opinion, what is the expected level for Ibovespa YE2026?

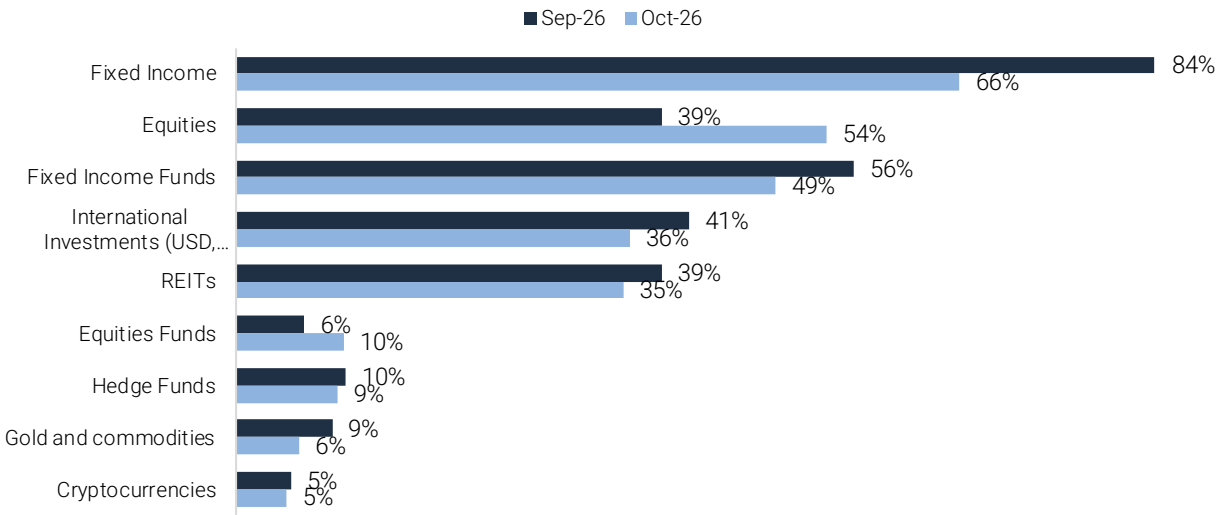


XP Sentiment Survey

Equities gain ground among asset classes

October's survey shows that **Fixed Income** remains the most demanded asset class among clients, although interest fell to 66% (-18 p.p. MoM), while **Fixed Income Funds** declined to 49% (-7 p.p. MoM). In line with the stronger sentiment, interest in **Equities** jumped to 54% (+15 p.p. MoM), the highest since March 2024, overtaking Fixed Income Funds. On the other hand, **REITs** eased to 35% (-4 p.p. MoM).

Chart 6: Which assets are your clients interested in?



Interest in international investments (Chart 6) fell to 36% (-5 p.p. MoM), while allocation levels (Chart 7) also moved lower. The 0-5% bracket rose to 64% (+14 p.p. MoM), the highest since May 2025, while the 5-10% range fell to 16% (-17 p.p. MoM) and the 10-20% bracket held at 13%.

According to our survey, the most in-demand international asset classes are: 1) **ETFs** (60%, -3 p.p. MoM); 2) **International Funds** (42%, -16 p.p. MoM); 3) **Dollar** (38%, +9 p.p. MoM); 4) **BDRs** (37%, -12 p.p. MoM); and 5) **Bonds** (22%, -15 p.p. MoM).

Chart 7: What percentage of your clients already invest in international assets?

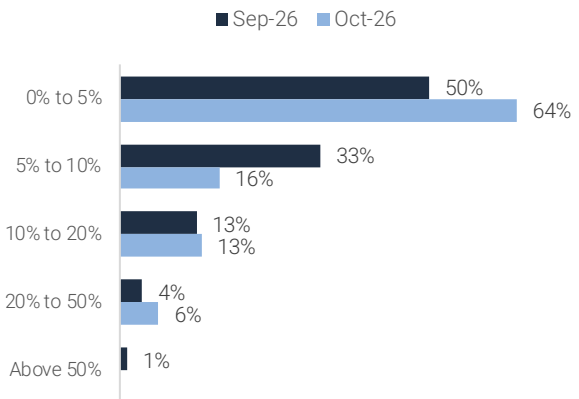
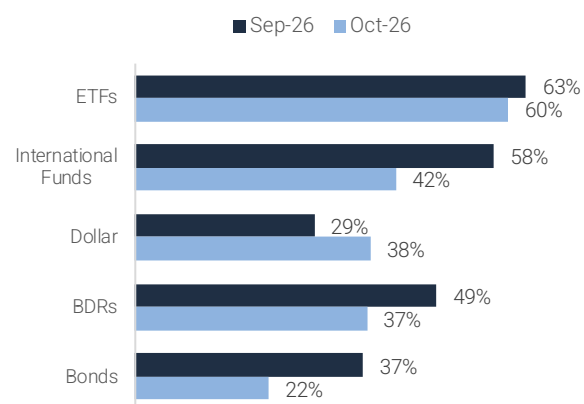


Chart 8: In international investments, your clients are interested in:



XP Sentiment Survey

Fiscal and political risks remain on top

Regarding the main risks for Brazilian equities, 69% (-9 p.p. MoM) of IFAs point to **Fiscal Risks in Brazil** as the key concern, followed by **Political Instability/Elections**, which eased to 64% (-7 p.p. MoM) ahead of the runoff. **Geopolitical risks/war** held at 36% (+1 p.p. MoM), while **Rising inflation in Brazil** gained ground (30%, +10 p.p. MoM).

As for factors that would increase risk appetite, **Rate cuts in Brazil** retook the lead, cited by 70% (+11 p.p. MoM), ahead of a **change of direction in political economy**, at 58% (-8 p.p. MoM). **Rate cuts in the US and globally** came third, at 25% (-5 p.p. MoM).

On sector preferences, **Financials** remained at the top with 64% (-10 p.p. MoM), followed by **Oil & Gas** (53%, -5 p.p. MoM) and **Utilities** (52%, -11 p.p. MoM). Interest spread to other sectors, with **Real Estate** (28%, +5 p.p. MoM), **TMT** (27%, +6 p.p. MoM) and **Agribusiness** (14%, +8 p.p. MoM) gaining share.

Chart 9: What do you think could be the biggest tail risk for Brazilian equities in the coming months?

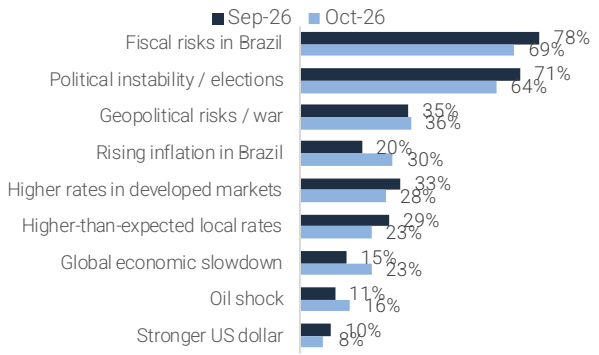


Chart 10: Which of the factors below would increase your risk-appetite for Brazilian equities?

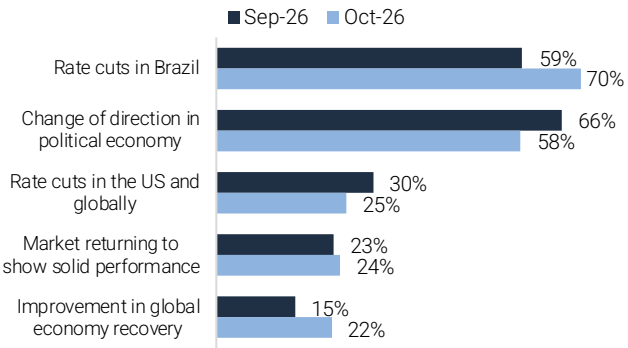
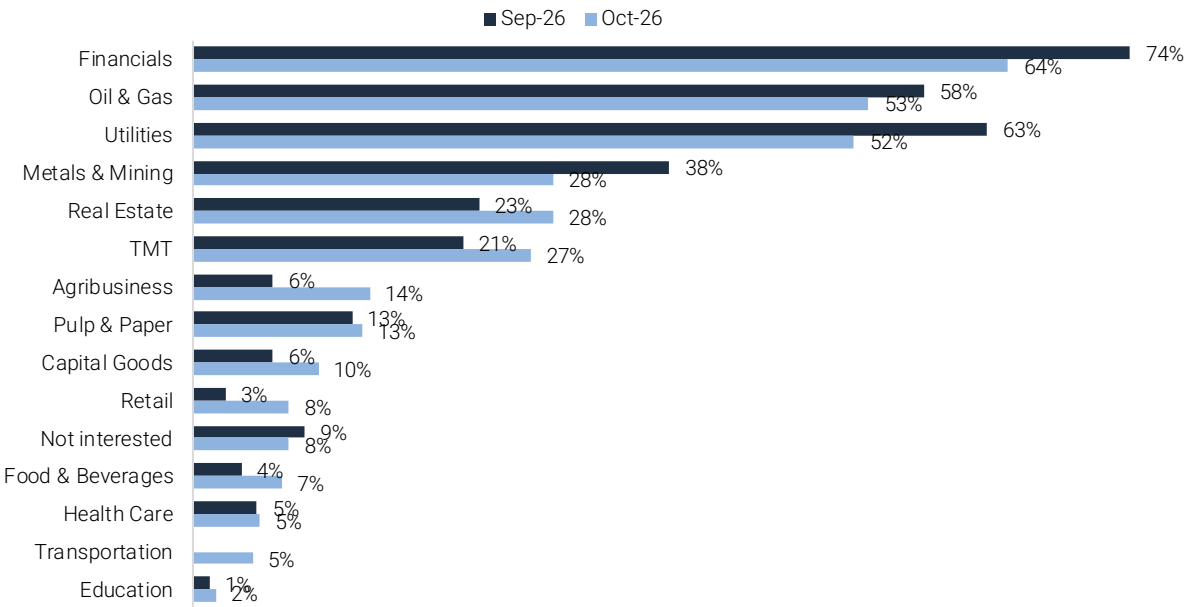


Chart 11: Which sectors are your clients most interested in investing currently?



XP Sentiment Survey

Most IFAs still saw value before the runoff

This month, we asked IFAs **how they assess the attractiveness of Brazilian equities after the rally that followed the first round**. Before the runoff, most still saw value: 42% considered them still very attractive and 30% said they were more expensive, but still offering value. Only 14% saw them as expensive, with limited attractiveness, while 13% had no clear view.

We also repeated our question on **how the 2026 election is influencing clients' positioning**, this time between the two rounds. In total, **78% of IFAs reported some degree of influence, up from 75% in September and 63% in August**, with 34% saying clients were already positioning significantly (from 33%).

With the post-election sell-off taking the Ibovespa back to 177k points, we expect the focus to shift to the domestic macro outlook, which our next edition should capture.

Chart 12: After the recent rally, how do you assess the attractiveness of Brazilian equities?

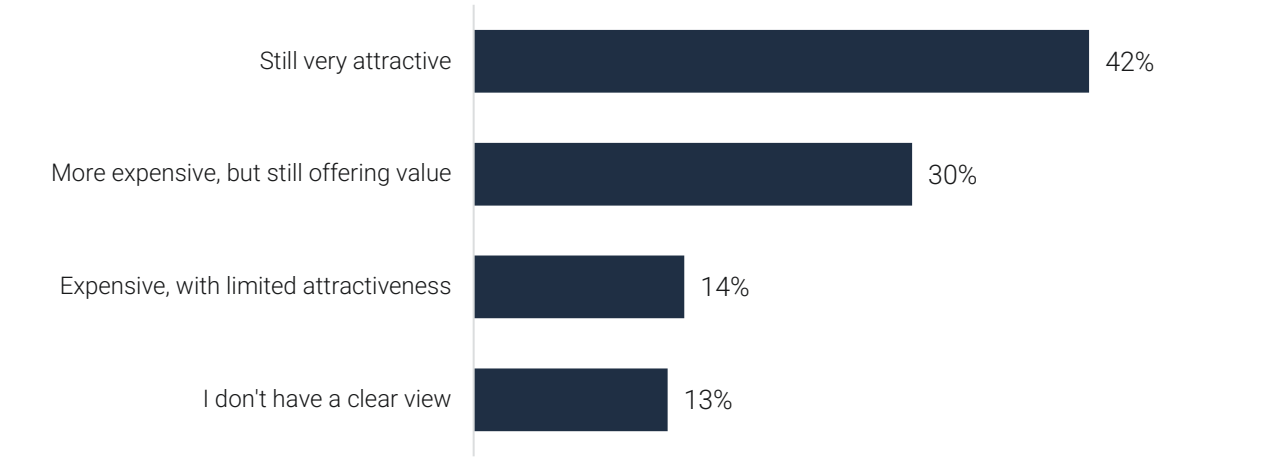
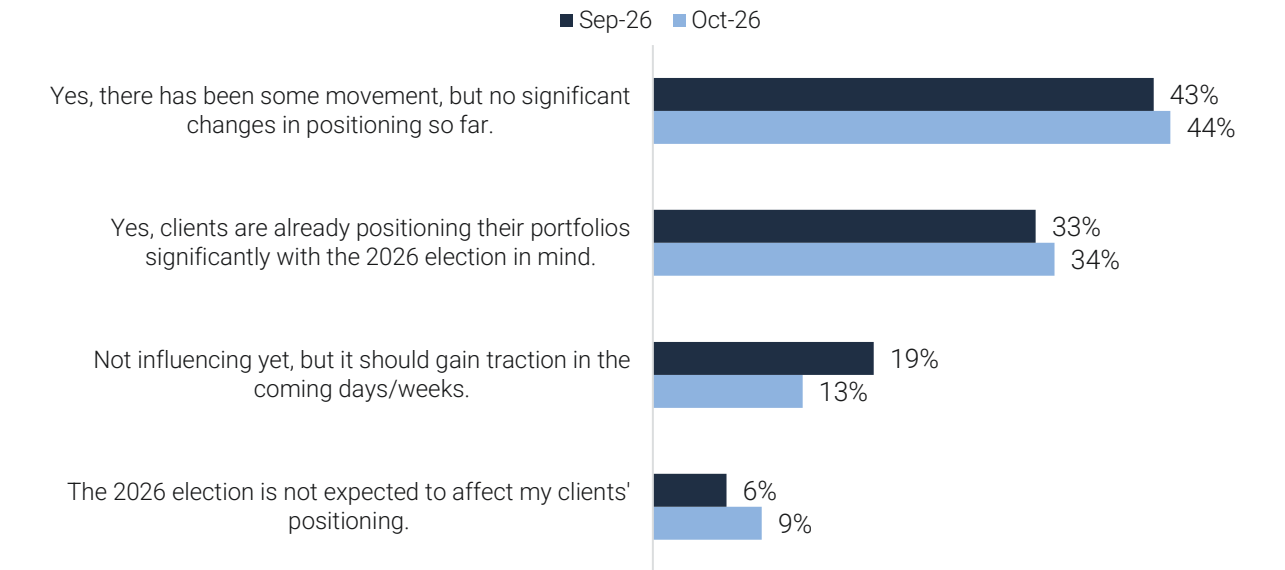


Chart 13: How is the 2026 election landscape influencing your clients' investment positioning?



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